into it.

If you are a bear and abstain from using a coffee can, you're basically saying you'll make a series of better short-term decisions over the next 10 years than you would if you just sat on your best ideas today. That seems unlikely, given all the research that shows how most investors trade too much and how it hurts their returns.

Put another way, the theory behind the coffee can says your series of shorter-term decisions is likely to be worse than one decision today. It might not turn out that way, but it is independent of whether you think the world will be less prosperous in 10 years.

If the world is worse off in 10 years, that will affect all strategies. It's not as if you can say, "Well, I think the United States is going to be the next Argentina, and hence I won't use the coffee can." The conclusion does not follow from the premise. You still have to decide what to do.

And as I've said before, you don't have to put all of your wealth in a coffee can. I've told people they only need to put a part of their money in a coffee can. It doesn't have to be the only approach you use, but it can be one of several.

In summary, don't let the fear of apocalypse keep you from a building a coffee-can portfolio.

A Footnote to the Coffee-Can Portfolio

I love the coffee-can concept. And one of the reasons is that anyone can use it. It melds perfectly with the idea of 100-baggers, because if you truly want 100-baggers, you need to give stocks some time. We'll cover this more later, but since 1962, there have only been 20 — out of the 365 included in my study — that did so inside of 10 years.

But if you do give your stocks time to marinate, the results can be mind-blowing. And when you think about it, it is not really that hard to simply not sell. I have to share a few more stories from real people who resisted selling and accumulated small fortunes.

> Here is a coffee can story for you. My brother and I were heirs to 2000 shares each of Praxair in 1998. I believe it was worth about $34,000 at the time. I did not reinvest the dividends (wish I had)